

THE ECONOMIC IMPACT OF CRYPTO FOR INDIA'S 5 TN ECONOMY

In 2019, Prime Minister Narendra Modi, shared with the masses his vision of making India a \$5 trillion economy by 2024-25. His vision was encouraging and his words motivating. In order to achieve this target of a \$5 trillion economy by 2025, India would need a minimum annual growth of at least 10.8 %. Indians were up for the challenge. But just as we were warming up for running towards it with full speed, covid-19 put the world to a standstill. People's hopes dropped. So did India's GDP. It hit 7.4% - the worst so far.

Currently, India stands at 8.9%. While we've seen some recovery, there's still a long long way to go. It seems challenging but India is a country known for its unwavering spirit and hardworking people.

A recent Nascom report stated that Web3, of which crypto is an integral part, is predicted to add \$1.1T to India's GDP by 2032. The report also mentions that the Indian crypto market has been growing exponentially over the last few years, and is expected to grow 2X faster with the potential to create eight-lakh+ jobs by 2030. It can also create an economic value addition of \$184 billion in the form of investments and cost savings. The Indian crypto market is expected to reach up to \$241 million by 2030

Currently, India has 4 unicorns in the web3 space - Polygon, CoinDCX, CSK and Sire - and 450+ startups out of which 160+ were founded between 2021-2022 alone. In the last two years, VC investors have invested ~\$1.3bn in web3 startups. Startups in the crypto-blockchain space have been solving problems in the supply-chain industry, health-tech, waste management, content creation and many more. India is a land of immense talent and out-of-the-box ideas and the kind of startups that have been emerging in this space only strengthens this claim.

For a fast-growing large democracy like India, human capital will be the driving force behind future growth. India must significantly invest in health and education to leverage its demographic dividend.

Ayushman Bharat is a big step towards easing the healthcare burden on poor households. But to improve health outcomes, equal emphasis must be placed on the scheme's other objective —of improving primary health infrastructure at the local level.

Scaling up this initiative would require expanding and strengthening primary health infrastructure, enforcing quality standards and conducting periodic audits - all



Sumit Gupta, Co-Founder & CEO, CoinDCX

of which can be easily enabled via crypto & blockchain.

The crypto community - both investors and innovators - have gone above and beyond to exhibit their passion and dedication towards building for India. A friendly policy environment that not only promotes growth but makes it a seamless experience is what the industry needs.

Once the basics like political support and the regulatory frameworks are put in place, one will see more stable crypto markets, along with mass adoption. This, in turn, will help in a host of opportunities such as improvement of financial inclusion, decrease in corruption rates, cheaper and faster trans-border payments, expand access to trade for business, and increased microlending, that can positively impact the Indian economy in the long run.